

Rajkumar vs Mukesh Kumar on 29 July, 2024

IN THE COURT OF Ms. NEHA GUPTA SINGH
CHIEF JUDICIAL MAGISTRATE
NORTH, ROHINI COURTS : DELHI

Rajkumar S/o Mukund Lal
R/o Village Palla/Jhingoula
Delhi- 110036

.....COMPLAINANT

Versus

Sh. Mukesh Kumar S/o Mir Singh
R/o Village Palla/Jhingoula,
P.O Palla, PS Alipur,
Delhi 110036

.....ACCUSED

Case Number.	:	6586/16
Date of Institution.	:	17.09.2013
Offence Complained Of.	:	U/s 138 NI Act
Plea of the Accused.	:	Not Guilty
Arguments Heard On.	:	5.07.2014
Final Order.	:	Acquitted for offense u/s 138 NI Act
Date of Judgment.	:	29.07.2024

CC No. 6586/2016

Raj kumar vs. Mukesh
JUDGMENT

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1. Factual matrix as brought about from the complaint is that complainant and accused are known to each other. That on 24.09.2012 accused approached the complainant for some urgent financial help, as accused were going to purchase land in the area of village Palla and need help for that. Complainant advanced Rs. 15,00,000 @ 24% interest per anum.

2. Accused in discharge of legal liability issued cheque bearing no. 865028 dated 17.04.2013 for sum of 5,00,000 and cheque no. 865027 dated 17.05.2013 for sum of Rs. 10,00,000 drawn on State Bank of India. Accused kept asking complainant not to present the same for encashment and cheques became stale. Accused on intervention of respectable persons of village, accused took back these

cheques and issued fresh cheque no. 865032 dated 25.06.2013 for sum of Rs. 15,00,000.

3. The aforesaid cheque was presented by the complainant for encashment to his bank ie. State Bank of India, Village Palla Branch. The cheque was returned back dishonored vide return memo dated 27.06.2013 with reason "Stop Payment". Cheque was again presented on 20.07.2013 and again cheque was returned back dishonored vide return memo dated 22.07.2013 with reason "Stop Payment". Cheque was again presented on 19.08.2013 and again cheque was returned back dishonored vide return memo dated 19.08.2013 with reason "Stop Payment". Complainant thereafter gave legal demand notice to the accused on 22.08.2013 calling upon him to make payment within 15 days from notice. The said notice was sent by the Speed Post. Despite the service the accused did not make the payment within stipulated period, hence present complaint was filed under section 138 of Negotiable Instruments Act, 1881 (The Act).

4. Complaint was perused and cognizance of the offence was taken by the Ld. Predecessor. Complainant tendered pre summoning evidence by way of affidavit Ex C1 and relied on documents Ex.CW1/B to Ex.CW1/F.

5. Accused was admitted on bail and notice under section 251 Cr.Pc was framed against the accused on To which he pleaded not guilty and claim trial. Defence as disclosed by the notice to accused is that Cheque was stolen from his car and is misused by the complainant.

6. Accused made an application under section 145(2) Cr.P.C.. Application was allowed and accused was given opportunity to cross examine the complainant.

7. Complainant adopted his pre summoning evidence. He conceded in his cross examination that he was doing agricultural business in year 2012 and was earning Rs. 2,00,000 to 2,50,000 per annum. Accused was also agriculturist and he had visiting terms with accused. On 10/11.03.2012 accused came to his House and asked for financial help and he gave 15,00,00 to the accused. He did not took any written receipt from the accused of this amount. His agricultural land was sold and therefore he had money. He had received the amount of sale consideration in cash as well as through cheque. The total amount of sale consideration was Rs. 25,00,00/- and out of that Rs. 10,00,00/- were received by way of cheque and balance Rs. 15,00,00/- were received in cash. He had sold his land to Amit Kumar. Amount was given to the accused in cash he gave 10 lakhs in cash at home and Rs. 5,00,00/- were withdrawn from his bank. Check of Rs. 5,00,00/- and Rs. 10 lakhs were given in the office of the property dealer namely city after 10 to 15 days of receiving the money. Money was lent @2% per annum. Later accused took back the two cheques and gave cheque of Rs. 15 lakhs on 24 June 2013 or 24 July 2013 details on the cheque were not filled by the accused details are filled by one Sanjeev who was the friend of the accused. Cheque was signed in the English and later when sign did not match with the record of the bank same was again signed in Hindi. Cheque was dishonoured on 25 June 2016 for not matching of the signatures. On 26 June 2013 cheque was presented again after taking signatures of accused in hindi. Cheque was presented three times, but same was dishonoured on all occasions. He conceded that legal demand notice does not bear house no. of accused. He also conceded that Mukesh is common name in village. Complainant at later date produced sale deed between him and Amit on record ie. Ex.CW1/G. He conceded that same pertains

to date 23.01.2014. As per his bank statement Ex.CW1/H, withdrawal of sum of Rs. 5,00,000 is after 6 months from date of loan. Complainant is not an Income Tax Payee.

8. Complainant evidence was closed and the accused was examined under section 313 read with section 281 Cr.Pc. All the incriminating evidence were put to him in vernacular and accused stated that he has not taken any loan from accused. He did not receive the legal demand notice. Cheque in question is misused by the complainant. Accused wished to lead defence evidence.

9. Accused examined Asst Manager State bank of India as DW 1, who deposed that specimen signature of accused are DW1/1, record with respect to return of cheque is DW1/2. The computer generated record of specimen signature is Ex.DW1/3.

10. Accused deposed as DW2, he stated that he is agriculturist by the profession. Complainant is doing property business. On 4.4.2011 he purchased a house from the complainant. In year 2012 the complainant showed him a piece of agricultural land and allowed him to purchase the said land and he gave the check in question in consideration of that land but that deal was not materialize and after that he asked the complainant to return the check in question but the complainant told him that he has torn the said cheque. Complainant later miss use the said check. Details in the cheque are not filled by him, he has not taken any loan from the complainant nor he has any liability to pay the same. He was cross-examined by the Ld. counsel for the complainant he conceded in the cross-examination that he know the complainant since last 20 to 25 years cheque in question belongs to him, he had issued the cheque to complainant as a consideration for purchase of some property. However, deal could not materialize. Cheque in question bears his signatures his cheque was never lost he has certain cheque bounce cases against him which are now settled.

11. Final arguments were advanced by the counsel for the parties. Written arguments are also filed by the parties.

12. It was argued for the complainant that complainant and accused are known to each other. That on 24.09.2012 accused approached the complainant for some urgent financial help, as accused were going to purchase land in the area of village Palla and need help for that. Complainant advanced Rs. 15,00,000 @ 24% interest per annum.

13. Accused in discharge of legal liability issued cheque bearing no. 865028 dated 17.04.2013 for sum of 5,00,000 and cheque no. 865027 dated 17.05.2013 for sum of Rs. 10,00,000 drawn on State Bank of India. Accused kept asking complainant not to present the same for encashment and cheques became stale. Accused on intervention of respectable persons of village, accused took back these cheques and issued fresh cheque no. 865032 dated 25.06.2013 for sum of Rs. 15,00,000.

14. The aforestated cheque was presented by the complainant for encashment to his bank ie. State Bank of India, Vill Palla Branch. The cheque was returned back dishonored vide return memo dated 27.06.2013 with reason "Stop Payment". Cheque was again presented on 20.07.2013 and again cheque was returned back dishonored vide return memo dated 22.07.2013 with reason "Stop Payment". Cheque was again presented on 19.08.2013 and again cheque was returned back

dishonored vide return memo dated 19.08.2013 with reason "Stop Payment". Complainant thereafter gave legal demand notice to the accused on 22.08.2013 calling upon him to make payment within 15 days from notice. The said notice was sent by the Speed Post. Despite the service the accused did not make the payment within stipulated period. It is argued that once signatures are admitted on cheque, presumption raises in favor of complainant which is not rebutted by the accused.

15. Reliance is placed on Rajesh Jain v. Ajay Singh Manu SC 1096/2023, P.Rasiya v. Abdul Nazer &Ors. Manu SC 1521/2022, Kalamani Tex&Ors. v. P. Balasubramanian Manu SC 0066/2021, Oriental bank of Commerce V. Prabodh Kumar Tewari 2022 SCC Online 1089, Hari Chand v. H.P State Co Operative Bank Ltd and Ors. Manu/HP/2226/2018, Mohammad Sayeed v. The State of Jharkhand Manu JH/0554/2022, Smt Parvathamma.M v. Smt Chandrakala.V Kar HC 508/2015.

16.Per contra it is argued by the counsel for the accused that complainant has filed a false complaint against the accused. There is no receipt or witness of transaction. Complainant is not an income tax payee and has failed to show capacity to advance loan of Rs. 15,00,000 in cash. Complainant has stated that cheque was returned for reason signature differ, however same is not proved on record. Legal demand notice was never served on accused, it does not bear the address of accused.

17. Reliance is placed on Bijender Sharma v. Anil Sabharwal 2017(245)DLT 204, K Subramani v. K. Damodar Naidu 2015(1) SCC 99, Pushpa Devi v. Sushila 2018 (3) JCC 177 NI, Basalingappa v. Mudibasappa 2019 AIR SC 1983, Manoj Jain v. Surinder Kumar jain 2015 (3) JCC 212 (NI), Govind Ram Singhal v. Govt NCT of Delhi 2023 Lawpack DEL 94818, Ashok Baugh v. Kamal Baugh 2015(3) RLR 531, Sanjay Verma v. Gopal Halwai 2019 (2) JCC 1470, Wilson Mathew v. The State NCT of Delhi 2016 (1) RLR 9.

18.I have heard the complainant and accused and have perused the record.

19.Before coming to the appreciation of the evidence and legal position, it is pertinent to mention that the trial though summary was conducted like summons trial and evidence was recorded in full with examination and cross examination of the witnesses and not in a summary manner by the predecessor court. In light of the judgment of Hon'ble Supreme Court in Mehsana Nagrik Sahkari Bank Ltd. Vs. Shreeji Cab Co.& Ors. 2014 CriLJ 1953, this court is inclined to rely on the evidence recorded by the predecessor court.

20.At the outset it is wise to discuss the legal principles involved in present matter at hand. Present complaint is filed u/s 138 of the Act. The object of the legislation is to encourage the culture of use of cheques and enhance the credibility of the instrument.

21.The legal regime pertaining to the offence under section 138 of the act has numerous components inter alia,

a) Cheque was drawn by a person on an account maintained by him

- b) It was drawn for the discharge, in whole or in part, of any debt or other liability
- c) Cheque was presented to the bank within a period of six month from the date it was drawn or within the period of its validity.
- d) Cheque was returned by the bank unpaid due to insufficient funds or that it exceeds the amount arranged to be paid.
- e) Payee or holder in due course make demand of payment of the said amount of money by giving a notice, in writing within 30 days of receipt of information by him from the bank regarding the return of cheque as unpaid.
- f) The drawer of the cheque fails to make payment of the said amount of money within 15 days of the receipt of the said notice
- g) Complaint was filed in writing within one month of the date on which cause of action arised

22. Statutory and legal presumptions in favor of payee/ complainant as laid down by the Act and precedents can be summarized as follows.

- a) Presumption as to liability: it shall be presumed unless contrary is proved that the holder of cheque received the same in discharge of any debt or liability (sec 139 and 118(a))
- b) Presumption of dishonor: court shall presume dishonor of cheque on production of bank's slip or memo having official mark denoting that cheque has been dishonored unless such fact is disproved.(sec 146)
- c) Service of legal demand notice: notice sent at correct address by making complete payments of postal expenses in advance deem to be served and drawer has to show during trial after leading evidence that same was not served .(see C.C. Alavi Haji v. Palapetty Muhammed 2007 Crl.L.J 3214)

23. Now I shall discuss components of offence in light of facts and circumstances of present case

24. Issuance of cheque Accused has admitted the signatures on cheque, but has stated that cheque was given for property deal to complainant in blank, however since transaction could not materialize, cheque was asked to be returned, which was never returned by the complainant. He has denied signatures in hindi on cheque.

25. Cheque was present to bank for payment and it was returned back unpaid.

The aforestated cheque was presented by the complainant for encashment to his bank ie. State Bank of India, Vill Palla Branch. The cheque was returned back dishonored vide return memo dated 27.06.2013 with reason "Stop Payment". Cheque was again presented on 20.07.2013 and again cheque was returned back dishonored vide return memo dated 22.07.2013 with reason "Stop

Payment". Cheque was again presented on 19.08.2013 and again cheque was returned back dishonored vide return memo dated 19.08.2013 with reason "Stop Payment".

26. Legal demand notice within 30 days of return of cheque and no payment by drawer within 15 days of receipt.

In present case legal demand notice Ex. CW1/F was sent on 22.08.2013 by Speed Post and registered AD to the accused. Registered AD card was not returned, neither tracking report of Speed post is on record. Receipt of legal demand notice is denied by the accused. It is admitted by complainant that there is no house number on legal demand notice, and there are several persons by name of Mukesh in village. When address of accused on notice is not complete no presumption of delivery can be raised. Further, complainant has not proved delivery of notice to accused cogently, by examining witnesses from concerned post office. In light of these circumstances it cannot be said that legal demand notice was ever served on accused.

27. Legally enforceable debt or liability It is a well settled position of law that when a negotiable instrument is drawn, two statutory presumptions arise in favor of the complaint, one under Section 139 NI Act and another under Section 118(a) of the NI Act. Further, the court will presume a negotiable instrument for consideration unless and until after considering the matter before it, it either believes that the consideration does not exist or consider the non-existence of the consideration so probable that a prudent man ought under the circumstances of the particular case to act upon the supposition that the consideration does not exist. For rebutting such presumption, what is needed is to raise a probable defense. Reliance is placed on M.S. Narayana Menon v. State of Kerala, (2006) 6 SCC

39.

28. In Kumar Exports Vs. Sharma Carpets, (2009) 2 SCC 513, wherein the Apex Court examined as to when complainant discharges the burden to prove that instrument was executed and when the burden shall be shifted as follows.

"18. Applying the definition of the word "proved" in Section 3 of the Evidence Act to the provisions of Sections 118 and 139 of the Act, it becomes evident that in a trial under Section 138 of the Act a presumption will have to be made that every negotiable instrument was made or drawn for consideration and that it was executed for discharge of debt or liability once the execution of negotiable instrument is either proved or admitted.

As soon as the complainant discharges the burden to prove that the instrument, say a note, was executed by the accused, the rules of presumptions under Sections 118 and 139 of the Act help him shift the burden on the accused. The presumptions will live, exist and survive and shall end only when the contrary is proved by the accused, that is, the cheque was not issued for consideration and in discharge of any debt or liability. A presumption is not in itself evidence, but only makes a prima facie case for

a party for whose benefit it exists.

19. The use of the phrase "until the contrary is proved" in Section 118 of the Act and use of the words "unless the contrary is proved" in Section 139 of the Act read with definitions of "may presume" and "shall presume" as given in Section 4 of the Evidence Act, makes it at once clear that presumptions to be raised under both the provisions are rebuttable. When a presumption is rebuttable, it only points out that the party on whom lies the duty of going forward with evidence, on the fact presumed and when that party has produced evidence fairly and reasonably tending to show that the real fact is not as presumed, the purpose of the presumption is over.

20. The accused may adduce direct evidence to prove that the note in question was not supported by consideration and that there was no debt or liability to be discharged by him. However, the court need not insist in every case that the accused should disprove the non-existence of consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. At the same time, it is clear that bare denial of the passing of the consideration and existence of debt, apparently would not serve the purpose of the accused. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant."

29. In *Bharat Barrel & Drum Manufacturing Company Vs. Amin Chand Pyarelal*, (1999) 3 SCC 35 wherein the Court dealt with the presumption of S 118 of the Negotiable Instruments Act and held thus:

"Though the evidential burden is initially placed on the defendant by virtue of S.118 it can be rebutted by the defendant by showing a preponderance of probabilities that such consideration as stated in the pronote, or in the suit notice or in the plaint does not exist and once the presumption is so rebutted, the said presumption 'disappears'. For the purpose of rebutting the initial evidential burden, the defendant can rely on direct evidence or circumstantial evidence or on presumptions of law or fact.

Once such convincing rebuttal evidence is adduced and accepted by the Court, having regard to all the circumstances of the case and the preponderance of probabilities, the evidential burden shifts back to the plaintiff who has also the legal burden. Thereafter, the presumption under S.118 does not again come to the plaintiff's rescue. Once both parties have adduced evidence, the Court has to consider the same and the burden of proof loses all its importance."

30 It was held in *Krishna Janardhan Bhat vs Dattatraya G. Hegde* (2008) 4 SCC 54 that whereas prosecution must prove the guilt of an accused beyond all reasonable doubt, the standard of proof so as to prove a defence on the part of an accused is preponderance of probabilities. Inference of preponderance of probabilities can be drawn not only from the materials brought on records by the parties but also by reference to the circumstances upon which he relies.

31. In the present case, liability is disputed by the accused. He has alleged that loan was not taken as alleged by the complainant. Complainant has failed to show any document to prove that he advanced loan to the accused.. There is no witness to the transaction. Nothing is brought on record by complainant, despite the fact that loan transaction is disputed by accused. Loan was not shown in ITR, nor any receipt is taken from accused. It is highly unlikely that Rs. 15,00,000 will be given in cash without any receipt, further complainant has failed to show the source of income nad capacity to advance loan of Rs. 15 lac. Admittedly his annual income was Rs. 2.5 to 3 lac at the time of transaction. He has alleged that money was received on property sale, however as per EX. CW1/G property transaction took place on 23.01.2014, and no sale consideration is mentioned as same is GPA. Further, complainant stated that cash Rs. 5,00,000 was withdrawn from bank, however as per EX.CW1/H , no withdrawal was made on 24.09.2012. There is an entry of self withdrawal of Rs. 5 lac on 17.09.2012, however it is the case of complainant that accused approached him on 24.09.2012, then how can he make withdrawal for accused on 17.09.2012. Complainant has failed to show transaction and capacity to pay.

32. It is argued for the complainant that accused has taken contradictory stands and has admitted signatures on cheque. Further, he has admitted property transaction between parties. Here it is pertinent that It is the cardinal principle of Criminal Justice delivery system that the complainant has to prove the guilt of accused beyond reasonable doubts. No matter how weak the defence of accused is but, the golden rule of the Criminal Jurisprudence is that the case of the complainant has to stand on its own leg. When, accused has raised the doubt in transaction, then complainant was duty bound to prove the transaction. Further, complainant has alleged loan transaction and not sale transaction and that is not admitted by the accused. Accused has rebutted the presumption raised under section 139 NI Act. Reliance can be placed on Rajaram S/O Sriramulu Naidu vs Maruthachalam 2023 LiveLaw (SC) 46

33. Accordingly, Complainant has failed to prove the essential component of offense under section 138 NI Act ie. delivery of legal demand notice, further accused has also rebutted the presumption under section 139 NI Act. In light of above discussion accused Mukesh Kumar is acquitted for offense under section 138 NI Act.

	Neha	by Neha Gupta
Announced in the open court on	Gupta	Date:
29th July 2024		2024.07.29
	Singh	20:53:50
		+0530

Neha Gupta Singh
Chief Judicial Magistrate (North)
Rohini Court/New Delhi

Certified that this judgment contains 16 pages and each page bears my signature.

Neha Gupta Singh Chief Judicial Magistrate (North) Rohini Court/New Delhi